

Regulations - Steel Industry in India



Taxes

- GST - 18% (better than earlier 19.5% indirect taxes)
- Corporate tax reduced to 25% in 2019.



Export/ Import regulations

- From a controlled import regime, industry has moved to a free import regime.
- However, anti-dumping and safeguard duties are often used.
- Free export is allowed; also at times promoted.



Environmental regulations

- Covered under Environment Protection Act and Ministry of Environment and Forest.
- All new plants and substantial expansions require permission under PEA.
- Install specific pollution control equipment.



Investment related regulations

- Until 1991, only government sector companies were allowed. In 1991, private sector was allowed.
- 100% FDI is allowed.



Other industry-specific regulations

- Pricing and distribution deregulated from January 1992.
- National Steel Policy drafted in 2005 acts as basis for all government planning about the industry.
- Energy consumption laws put obsolete factories out of use.
- Government pledged to reduce GHG emission by the industry by 33-35% under Intended Nationally Determined Contribution.